

NOTES

forming part of the standalone financial statements

- 44.** TM International Logistics Limited ('TMILL') is a 51:26:23 joint venture company between Tata Steel Limited, NYK Holding Europe B.V. ('NYK') and IQ Martrade Holding Und Management GmbH ('IQ'), respectively.

The Board of Directors of the Company, on May 15, 2026, considered and approved the acquisition of 41,40,000 equity shares of face value ₹10/- each (23% equity stake), in TMILL, from IQ for a consideration of ₹335.00 crore, subject to necessary approvals. The Company has, on May 15, 2026, executed Share Purchase Agreement with IQ and TMILL. The transaction is subject to customary conditions precedent, and approvals from regulatory authorities including Competition Commission of India and other stakeholders, as applicable.

On completion of the above transaction, the Joint Venture agreement dated July 26, 2001, between the Company and IQ, and the Deed of Adherence dated November 26, 2009, amongst the Company, TMILL, NYK and IQ will be terminated and the Company will hold 74% equity shares in TMILL and NYK will hold 26% equity shares in TMILL.

- 45.** On November 4, 2025, the Company had signed an Asset Transfer Agreement with Indian Metals & Ferro Alloys Ltd. (IMFA) for the sale of its Ferro Alloy Plant at Jajpur, Odisha. Upon receiving of necessary regulatory approvals, the Company has successfully completed the sale on February 27, 2026 for a base consideration of ₹610 crore (net of GST and excluding working capital). Exceptional item in the statement of profit and loss for the year ended March 31, 2026 includes a gain of ₹322.08 crore on account of this sale.

- 46.** With effect from April 1, 2023, the Ministry of Corporate Affairs (MCA) has made it mandatory for every Company, which uses accounting software for maintaining its books of account, to use only such accounting software which has a feature of recording audit trail of each and every transaction, creating an edit log of each change made in books of account along with the date when such changes were made and ensuring that the audit trail cannot be disabled.

The Company uses multiple accounting software including SAP HANA Enterprise Resource Planning (ERP) software to maintain its books of accounts. Implementation of the above notification to ensure enabling appropriate audit log on financial tables in aforesaid SAP HANA, which have high frequency database operations would lead to a severe system performance degradation thereby adversely impacting business operations and users, besides requiring significant additional storage and supporting infrastructure.

With a view to address the above challenges while ensuring compliance with the MCA notification and mitigate the risks involved therein, the Company has appropriately designed and implemented alternate mitigating controls over direct change at database level.

Further, the audit trail, to the extent maintained in prior year, has been preserved by the Company as per the statutory requirements for record retention.

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47. Disclosure for struck off companies

The following table depicts the details of balances outstanding in respect of transactions undertaken with a company struck-off under section 248 of the Companies Act, 2013:

(₹ crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance as at March 31, 2026	Balance as at March 31, 2025	Relationship with the struck-off Company
BBR (India) Private Limited	Sale of products and rendering of services	0.26	-	Advance from customer
Metecno India Projects Private Limited		-	0.18	
Highway Roadlines Pvt. Ltd.		0.00	-	
Jindal (India) Limited		0.12	-	
Polycab Wires and Cables Private Limited		0.00	0.00	
Bajrang Steel & Alloys Private Limited		-	0.01	
Apex Auto Private Limited		0.02	-	
Andhra Cylinders Pvt Ltd		0.13	0.04	
Creative Constructions & Contractors Private Limited		0.00	0.00	
Kochar Agro Pvt. Ltd.		-	0.25	
S.G. & Co Pvt Ltd		0.60	-	
Bright Steel Castings Pvt. Ltd.		1.25	0.56	
Victoria Auto Private Limited		1.32	0.34	
Agni Fuels Private Limited		-	0.01	
Antarctic Industries Ltd.		0.00	0.00	
Alok Enterprises Private Limited		0.01	0.01	
Sagar Business Pvt. Ltd.		0.21	3.83	
B.G. Shirke Construction Technology Private Limited		0.17	0.17	
Schwing Stetter (India) Pvt. Ltd.		0.04	0.04	
Adarsh Metal Industries Private Limited		0.20	-	Customer
Bansal Industries Private Limited		-	2.73	
Pinacle Airpoint Services Pvt. Ltd.		0.00	0.00	
Elegant Mkt Private Limited*		0.18	0.17	
Harinagar Sugar Mills Limited		0.00	0.00	
Jindal (India) Limited		3.61	-	
Fairdeal Tins Private Limited		0.00	-	
BB Man-Power And Facilities Services Private Limited		0.00	0.00	
Sagar Business Private Limited		0.26	-	
Menkar Energy Solutions Private Limited		1.76	1.76	
Calcutta Carriers Pvt Ltd	Purchase of goods and receiving of services	4.83	10.41	Vendor
Sagar Business Private Limited		1.30	0.01	
Highway Roadlines Pvt. Ltd.		0.34	-	
Advance Valves Private Limited		0.03	-	
Rajdeep Automation Private Limited		0.00	-	
Parikh Inn Private Limited		0.00	-	
K A Industries Pvt. Ltd.		0.11	1.49	
Hostin Services Private Limited		0.10	-	
Jaju Chemicals Private Limited		0.00	-	
Krofta Engineering Limited		0.18	-	
Karunamoyee Trexim Private Limited		0.00	-	
Leo Elevators Private Limited		0.08	-	
MT Industries Pvt. Ltd.		0.29	0.37	
Bearing Sales Corpn Private Limited		0.10	0.02	

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47. Disclosure for struck off companies (Contd.)

(₹ crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance as at March 31, 2026	Balance as at March 31, 2025	Relationship with the struck-off Company
Millenium Impex Private Limited	Purchase of goods and receiving of services	0.00	0.28	Vendor
Dgt Engineers Pvt. Ltd.		0.02	0.01	
Metecno India Projects Private Limited		0.00	0.25	
Sodexo Foods Solutions Limited		0.72	0.72	
Nita Industries Private Limited		0.00	-	
Organic Intermediates Pvt Ltd		0.01	-	
Pyrotech Electronics Private Limited		0.29	-	
Sew-Eurodrive India Private Limited		0.89	-	
BB Man-Power And Facilities Services Private Limited		0.01	1.63	
Sinha Aviation Service Private Limited		0.14	0.14	
Apex Auto Private Limited		0.00	-	Advance from Suppliers
Avanza Epsilon Elektro Private Limited		0.00	-	
Creative Constructions & Contractors Private Limited		0.00	-	
Daewoo India Private Limited		0.00	-	
E.Itec India Power Connection Private Limited		0.00	-	
Millenium Impex Private Limited		0.00	-	
Savita Machine Tools Private Limited		0.01	-	
Nita Industries Private Limited		0.00	-	
Rohini Impex Pvt. Ltd.		0.00	-	
Other Entities ⁽ⁱ⁾	Subscription to equity shares	-	-	Equity shareholder

0.00 represents value less than ₹0.01 crore.

* Refers to companies that were struck off as at March 31, 2025, but have become active during the year ended March 31, 2026.

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47. Disclosure for struck off companies (Contd.)

(i) Details of other struck off entities holding equity shares in the Company is as below:

Name of struck off Company	No. of shares held	Paid-up as at March 31, 2026 (₹)	Paid-up as at March 31, 2025 (₹)
(1) Agro Based Industries Ltd.	1,450	1,450.00	1,450.00
(2) Anand Growth Fund Pvt. Ltd.	1,330	1,330.00	1,330.00
(3) Anileksha Investments Pvt. Ltd.	2,250	2,250.00	2,250.00
(4) Annamallai Finance Limited	150	150.00	150.00
(5) Bejo Sheetal Seeds (Karnataka) Private Limited	750	750.00	750.00
(6) Bhagirathi Protein Ltd	6,500	6,500.00	6,500.00
(7) Bharat Solite Limited	10	10.00	10.00
(8) Burdwan Holdings Pvt Ltd	3,150	3,150.00	3,150.00
(9) Chaityadeep Investments Pvt. Ltd.	2,110	2,110.00	2,110.00
(10) Chanakya Service Station Private Limited	16,500	16,500.00	16,500.00
(11) Dashtina Investments Private Limited	400	400.00	400.00
(12) Desai Holdings Limited	750	750.00	750.00
(13) Dhanastra Investments Limited	13,500	13,500.00	13,500.00
(14) Dinsons (India) Private Limited	3,120	3,120.00	-
(15) Dipy Finstock Pvt. Ltd.	2,000	2,000.00	2,000.00
(16) Fortis Financial Services Limited	250	250.00	250.00
(17) Fortune Investment And Finance India Pvt. Ltd.	750	750.00	750.00
(18) Frontline Corporate Finance Ltd.	1,060	1,060.00	1,060.00
(19) Gagan Trading Co Ltd.	1,690	1,690.00	1,690.00
(20) Hrg Leasing Ltd.	30	30.00	30.00
(21) Goldcrest Jute and Fibre Ltd.	1,800	1,800.00	1,800.00
(22) Kapursco Cold Storage Pvt. Ltd.	300	300.00	300.00
(23) Kirban Sales Pvt. Ltd.	150	150.00	150.00
(24) Krishna Hire Purchase Pvt. Ltd.	1,000	1,000.00	1,000.00

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47. Disclosure for struck off companies (Contd.)

Name of struck off Company	No. of shares held	Paid-up as at March 31, 2026 (₹)	Paid-up as at March 31, 2025 (₹)
(25) Landmark Fin & Invt Consultancy P Ltd.	570	570.00	570.00
(26) Meghna Finance and Investments Private Limited	4,890	4,890.00	4,890.00
(27) Merchant Management System Private Limited	8,800	8,800.00	8,800.00
(28) Midas Touch Securities Pvt. Ltd.	150	150.00	150.00
(29) Modern Holdings Pvt. Ltd.	18,040	18,040.00	18,040.00
(30) Monnet Finance Limited*	1,000	1,000.00	1,000.00
(31) Montgomery Eng. Mkt. Ltd.	1,500	1,500.00	1,500.00
(32) My Shares & Stock Brokers Pvt. Ltd.	2,060	2,060.00	2,060.00
(33) Popular Stock and Share Services Private Limited	320	320.00	320.00
(34) Prahit Investments Pvt Ltd	4,600	4,600.00	4,600.00
(35) Protect Finvest Private Limited	330	330.00	330.00
(36) S S Securities Limited	500	500.00	500.00
(37) Seagull Finance And Investment Company Private Limited	600	600.00	600.00
(38) Shraman Trades & Industries Pvt. Ltd.	1,810	1,810.00	1,810.00
(39) Shree Agencies Pvt Ltd	3,180	3,180.00	3,180.00
(40) Shriram Investment Services Private Limited	1,500	1,500.00	1,500.00
(41) Shilpa Investments and Financials Services Private Limited	13,440	13,440.00	13,440.00
(42) St Helens Nominees India Private Limited	9,350	9,350.00	-
(43) Suhit Investments Pvt Ltd	1,660	1,660.00	500.00
(44) Swapnalok Construction Pvt Ltd	500	500.00	500.00
(45) Swapan Properties Private Limited	500	500.00	500.00
(46) The Calcutta Sales Agency Ltd	6,340	6,340.00	6,340.00
(47) Varun Credit & Real Estate Pvt Ltd	570	570.00	570.00
		1,43,210.00	1,29,580.00

* Refers to companies that were struck off as at March 31, 2025, but have become active during the year ended March 31, 2026.

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48. Details of significant investments in subsidiaries, joint ventures and associates

			(% Direct Holding)		
			Country of Incorporation	As at March 31, 2026	As at March 31, 2025
(a)	Subsidiary companies				
(1)	ABJA Investment Co. Pte Ltd.	Singapore	100.00	100.00	
(2)	Bhushan Steel (Australia) Pty Limited*	Australia	100.00	100.00	
(3)	Bhushan Steel (South) Limited	India	100.00	100.00	
(4)	Creative Port Development Private Limited*	India	51.00	51.00	
(5)	Jamshedpur Football and Sporting Private Limited	India	100.00	100.00	
(6)	Medica TS Hospital Pvt Ltd.	India	100.00	51.00	
(7)	Mohar Exports Services Pvt Ltd	India	33.23	33.23	
(8)	Neelachal Ispat Nigam Limited	India	100.00	99.83	
(9)	Rujuvalika Investments Limited*	India	100.00	100.00	
(10)	Subarnarekha Port Private Limited	India	3.88	3.88	
(11)	T Steel Holdings Pte. Ltd.*	Singapore	100.00	100.00	
(12)	Tata Korf Engineering Services Ltd	India	100.00	100.00	
(13)	Tata Steel Advanced Materials Limited* (formerly Tata Steel Odisha Limited)	India	100.00	100.00	
(14)	Tata Steel Colors Private Limited (formerly Tata BlueScope Steel Private Limited)	India	49.99	-	
(15)	Tata Steel Downstream Products Limited*	India	100.00	100.00	
(16)	Tata Steel Foundation	India	100.00	100.00	
(17)	Tata Steel Support Services Limited (formerly Bhushan Steel (Orissa) Limited)	India	100.00	100.00	
(18)	Tata Steel Technical Services Limited (formerly Bhushan Steel Madhya Bharat Limited)	India	100.00	100.00	
(19)	Tata Steel Utilities and Infrastructure Services Limited*	India	100.00	100.00	
(20)	Tayo Rolls Limited	India	54.91	54.91	
(21)	Thriveni Pellets Private Limited*	India	50.01	-	
(b)	Associate companies				
(1)	Bhushan Capital & Credit Services Private Limited	India	42.58	42.58	
(2)	Jawahar Credit & Holdings Private Limited	India	39.65	39.65	
(3)	Kalinga Aquatics Ltd.	India	30.00	30.00	
(4)	Kumardhubi Fireclay and Silica Works Ltd	India	27.78	27.78	
(5)	Kumardhubi Metal Casting and Engineering Ltd	India	49.31	49.31	
(6)	Malusha Travels Pvt Ltd	India	33.23	33.23	
(7)	Strategic Energy Technology Systems Private Limited	India	25.00	25.00	
(8)	Tata Construction and Projects Ltd.	India	27.19	27.19	
(9)	TP Parivart Limited	India	26.00	26.00	
(10)	TP Vardhaman Surya Limited	India	26.00	26.00	
(11)	TRF Limited	India	34.11	34.11	

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48. Details of significant investments in subsidiaries, joint ventures and associates (Contd.)

			(% Direct Holding)		
			Country of Incorporation	As at March 31, 2026	As at March 31, 2025
(c)	Joint ventures				
(1)	Andal East Coal Company Private Limited		India	33.89	33.89
(2)	Industrial Energy Limited		India	26.00	26.00
(3)	Jamipol Limited		India	7.11	7.11
(4)	mjunction Services Limited		India	50.00	50.00
(5)	Nicco Jubilee Park Limited		India	1.23	1.23
(6)	Tata NYK Shipping Pte Ltd.		Singapore	50.00	50.00
(7)	TM International Logistics Limited		India	51.00	51.00

* Include step-down subsidiaries.

49. Dividend

The dividend declared by the Company is based on profits available for distribution as reported in the standalone financial statements of the Company. On May 15, 2026 the Board of Directors of the Company had proposed a dividend of **₹4.00** per Ordinary share of ₹1 each in respect of the year ended March 31, 2026 subject to the approval of shareholders at the Annual General Meeting. If approved, the dividend would result in a cash outflow of approximately **₹4,993.41** crore.

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
DIN: 02449088

sd/-
Bharti Gupta Ramola
Independent Director
DIN: 00356188

sd/-
Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Subramanian Vivek
Partner
Membership Number 100332

sd/-
Pramod Agrawal
Independent Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer & Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director & Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

INDEPENDENT AUDITOR'S REPORT

To the Members of Tata Steel Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

1. We have audited the accompanying consolidated financial statements of Tata Steel Limited (hereinafter referred to as the "Holding Company") and its subsidiaries (including their joint operations, as applicable) (the Holding Company and its subsidiaries together referred to as "the Group"), its associates and joint ventures [refer Note 1 to the consolidated financial statements], which comprise the Consolidated Balance Sheet as at March 31, 2026, and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information and other explanatory information (hereinafter referred to as "the consolidated financial statements").
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, its associates and joint ventures as at March 31, 2026, and consolidated total comprehensive income (comprising of profit and other comprehensive income), consolidated changes in equity and its consolidated cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements" section of our report. We are independent of the Group, its associates and joint ventures in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India in terms of the Code of Ethics issued by the Institute of Chartered Accountants of India and the relevant provisions of the Act, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Assessment of carrying amount of property, plant and equipment and goodwill pertaining to the cash generating unit (“CGU”) Tata Steel Nederland B.V., a step-down subsidiary of the holding company. [Refer to Note 2 (c) to the consolidated financial statements – “Use of estimates and critical accounting judgements – Impairment”; Note 2(g) and 3(iii) to the consolidated financial statements - “Property, Plant and Equipment”; and Note 2(f) and 5(i) to the consolidated financial statements – “Goodwill”] The CGU of the Group has a carrying amount of ₹40,958.69 crores which primarily includes property, plant and equipment and goodwill of ₹31,876.48 crores and ₹5,341.52 crores as at March 31, 2026, respectively, relating to the above-mentioned step-down subsidiary. The Group carries property, plant and equipment and goodwill at cost less impairment losses, if any, and tests the same for impairment when events or change in circumstances occur which indicate that the recoverable amount of the CGU is less than the carrying amount. The step-down subsidiary faces significant operational and regulatory risks, including ongoing notices and letters from the local environmental agency and Province (statutory body), orders under penalty and uncertainty regarding the timeline for a safe, responsible and controlled shutdown of Coke and Gas Plants together with the successful execution of its decarbonisation strategy and the successful completion of the tailor-made agreement with the Government of the Netherlands, etc. The Group has identified the step-down subsidiary as a separate CGU for the purpose of impairment assessment and the determination of recoverable amount is based on management’s estimates and key assumptions that include: • Cash flow forecast including assumptions on capacity expansion, plans for decarbonisation and possible timelines for shutdown of the Coke and Gas Plants considering the above challenges. • Discount rates • Terminal growth rate • Economic and entity specific factors incorporated in the impairment assessment models. Considering the magnitude of the amounts involved, the sensitivity of the valuation to changes in key assumptions, and involvement of significant management judgment, we considered this area to be a key audit matter.	Our audit procedures included the following: • Obtained an understanding from the management, assessed and tested the design and operating effectiveness of the Group’s key controls over the impairment assessment of property, plant and equipment and goodwill. • Evaluated the appropriateness of the Group’s accounting policy in respect of impairment assessment of property, plant and equipment and goodwill. • Evaluated the Group’s process regarding impairment assessment for the above-mentioned step-down subsidiary by involving auditor’s valuation experts, to assist in assessing the management’s impairment assessment model, underlying assumptions relating to discount rate, terminal value, etc. • Evaluated the cash flow forecasts with the budgets, actual results, other supporting documents, as applicable, and our understanding of the internal and external factors, which also factors management’s assessment of planned shutdown of the Coke and Gas Plants and consideration of management expert’s views in this context. • Evaluated the management expert’s competence, capabilities, independence and objectivity. • Checked the mathematical accuracy of the impairment assessment model. • Assessed the sensitivity of the impairment model and evaluated whether any reasonably foreseeable change in key assumptions could lead to impairment. • Discussed the management’s process, involvement of experts, key assumptions and sensitivity with those charged with governance. • Evaluated the adequacy of the disclosures made in the consolidated financial statements.

Key audit matter	How our audit addressed the key audit matter
Assessment of litigations and related disclosures of contingent liabilities [Refer to Note 2(c) to the consolidated financial statements— “Use of estimates and critical accounting judgements — Provisions and contingent liabilities”, Note 37A to the consolidated financial statements - “Contingencies” and Note 38 to the consolidated financial statements — “Other significant litigations”] As at March 31, 2026, the Group has exposures towards litigations relating to various matters as set out in the aforesaid Notes. Significant management judgement is required by the Group to assess such matters to determine the probability of occurrence of material outflow of economic resources and whether a provision should be recognised or a disclosure should be made. The aforesaid judgement of the respective management of the companies included in the Group is also supported with legal advice in certain cases, as considered appropriate. As the ultimate outcome of the matters are uncertain and the positions taken by the respective management are based on the application of their best judgement, related legal advice including those relating to interpretation of laws/regulations, it is considered as a key audit matter.	Our audit procedures included the following: • Understood from the Group management, assessed and tested the design and operating effectiveness of key controls surrounding assessment of litigations relating to the relevant laws and regulations. • Examined legal expenses and enquired with the Group management about the latest developments and current status of material litigations. • Performed our assessment on a sample basis on the underlying calculations supporting the contingent liabilities/ other significant litigations disclosed in the consolidated financial statements. • Used auditor’s experts/specialists to gain an understanding and to evaluate the disputed tax matters. • Considered external legal opinions, where relevant, obtained by the Group management. • Evaluated Group management’s assessments by understanding precedents set in similar cases and assessed the reliability of the Group management’s past estimates/ judgements. • Evaluated Group management’s assessment around those matters that are not disclosed or not considered as contingent liability, as the probability of material outflow is considered to be remote by the Group management. • Assessed the adequacy of the disclosures in the consolidated financial statements.

Other Information

5. The Holding Company’s Board of Directors is responsible for the other information. The other information comprises the “Board’s Report and Annexures and Management Discussion and Analysis 2025-26” (but does not include the consolidated financial statements and our auditor’s report thereon), which we obtained prior to the date of this auditor’s report, and additional information excluding those referred above that would be included in the Integrated Report (titled as ‘Tata Steel Integrated Report and Annual Accounts 2025-26’), which is expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the

other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor’s report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the additional information, as mentioned above, that would be included in the Integrated Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.